Here, F_m represents import index (which is measured as the index of cost in terms of quantity of factors of production employed per unit of imports).

7.8 Balance of Trade Vs Balance of Payments

Balance of Trade and Balance of Payments are two different concepts in the subject of international trade.

7.8.1 Balance of Trade (BOT)

Balance of Trade (BOT) refers to the total value of a country's exports of commodities and total value of imports of commodities. Only export and import of commodities are included in the statement of Balance of Trade of a country. Movements of goods (export and imports of commodities) are also known as **'visible trade',** because the movement of commodities between countries can be seen by eyes and felt by hands and can be verified physically by custom authorities of a country.



Favourable BOT

When the total value of commodity exports of a country exceeds the total value of commodity imports of that country, it is said that the country has a **'favourable'** balance of trade.

Unfavourable BOT

If total value of commodity exports of a country is less than the total value of commodity imports of that country, that country is said to have an **'unfavourable'** balance of trade.

7.8.2 Balance of Payments (BOP)

BoP is a systematic record of a country's economic and financial transactions with the rest of the world over a period of time.



When a payment is received from a foreign country, it is a credit transaction while a payment to a foreign country is a debit transaction. The principal items shown on the **credit side** are exports of goods and services, transfer receipts in the form of gift etc., from foreigners, borrowing from abroad, foreign direct investment and official sale of reserve

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